



JUST DO IT.

AGENDA

INTRODUCTION

THE CORE PROBLEM

THE TRANSFORMATION

NEXT STEPS

APPENDIX



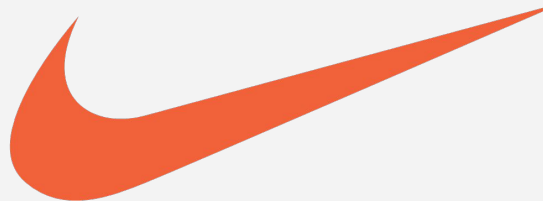


INTRODUCTION



OUR RECOMMENDATION

DIRECT TO CONSUMER, DIRECT TO EVERYONE.



Evolve Nike's Consumer Direct Offense into a balanced, data-driven **hybrid model** that restores **wholesale partnerships** while deepening **digital connections**, redefining speed, access, and community across every touchpoint.

FROM A LOCAL TRACK TO GLOBAL DOMINANCE



Founded in 1964 as *Blue Ribbon Sports*; became *Nike, Inc.* in 1971.

PRE-CDO STRATEGY

Nike's Wholesale Model

Historically, Nike's wholesale model enabled tremendous growth with over **30,000 retail partners** globally. While this approach offered a broad reach and established relationships, it also resulted in significant limitations. These included a lack of control over product presentation, pricing, and consumer experience, ultimately restricting Nike's agility and innovation capacity.





THE CORE PROBLEM

CDO OVERVIEW

Here's what Nike did to change the DTC problem....

Nike's direct-to-consumer model:
Is it cutting out
the middleman?



Consumer Direct Offense



Wholesale → direct consumer engagement



Why? Enforce Nike ecosystem and promote loyalty



How? Nike-owned stores & digital platforms

CDO OVERVIEW - HOW?

1.

Expanded Nike.com, SNKRS, and flagship “House of Innovation” and “Nike Live” stores.

2.

Used **data analytics** (via Zodiac and Celect) to forecast demand and personalize offers.

3.

Cut off low-value retailers (Amazon, Macy’s) to elevate brand perception.

4.

Grew the **NikePlus ecosystem** to 160M members who spent 3× more than non-members.

5.

Built a **faster supply chain** using local hubs and automation to cut delivery times and costs.



SWOT ANALYSIS

STRENGTHS

- Global brand power
- Full control of brand experience
- Data-driven personalization (Zodiac & Celect)

WEAKNESSES

- High inventory & logistics costs
- Lost retail visibility
- Margin decline (46% → 43.5%)

OPPORTUNITIES

- Rebuild select wholesale ties
- Use AI to optimize demand
- Expand “phygital” store experiences

THREATS

- Growing competition
- Slower consumer demand
- Rising costs & operational strain

OVER-RELIANCE ON DTC



Foot Locker

DSW

DESIGNER SHOE WAREHOUSE®



Membership

WHY IT BECAME A PROBLEM



Reduced Consumer Choice



Lost Visibility



Higher Cost



Inventory Build-Up



Weakened Consumer Discovery



Competitor Visibility



Net Income Dropped



Gross Margins Fell

CONSEQUENCES

PRE-CDO vs. CDO



72%

Wholesale's
Revenue Share



42%

Nike's Direct
Revenue Share

PRE-CDO

Distribution Access

- ✓ Buy Nike **anywhere**
- ✓ **Retailers own** the relationship
- ✓ Focus on **volume** & **visibility**
- ✓ Broad reach, low margins

CDO



Consumer Relationship

- ✓ Experience Nike **directly**
- ✓ Nike **controls brand experience**
- ✓ Focus on **loyalty** & **experience**
- ✓ Narrower reach, higher margins



NEXT STEPS



REINTEGRATION PLAN

F

FOCUS
*on Selective
Wholesalers*

L

LEVERAGE
*Omnichannel
Integration*

O

OPTIMIZE
*Inventory
Management*

W

WIDEN
*Market
Presence*



REINTEGRATION PLAN

FOCUS

on Selective Wholesalers

F

- ✓ Re-enter premium retail
- ✓ Reduce promotion pressure
- ✓ Regain shelf dominance

LEVERAGE

Omnichannel Integration

L

- ✓ Connect DTC & Nike.com
- ✓ Reduce operational complexity
- ✓ Unify consumer data



REINTEGRATION PLAN

OPTIMIZE

Inventory Management

O

- ✓ Use AI tools for strategy
- ✓ Improve inventory turnover (3.7x)
- ✓ Target \$7.5B inventory

W

WIDEN

Market Presence

- ✓ Increase brand visibility
- ✓ Increased membership rewards
- ✓ Expand market share



NEXT STEPS

PHASE 1: SWOOSH-BACK

0 - 12 months

I. Swoosh Zones

Foot Locker



NORDSTROM



II. "Just Do It Together"



PHASE 2: SMART-SWOOSH

12 - 24 months

I. AR Integration



- Try-umph
- Swoosh Scan

II. Re-Swoosh Centers



PHASE 3: SWOOSH-SPHERE

24 - 36 months

I. Nike Passports



JORDAN S.
LEVEL 17

MY ACTIVITY & PURCHASES



145 MILES
12 ITEMS PURCHASED
LAST WORKOUT: JORDAN TRACK

II. Nike Brain

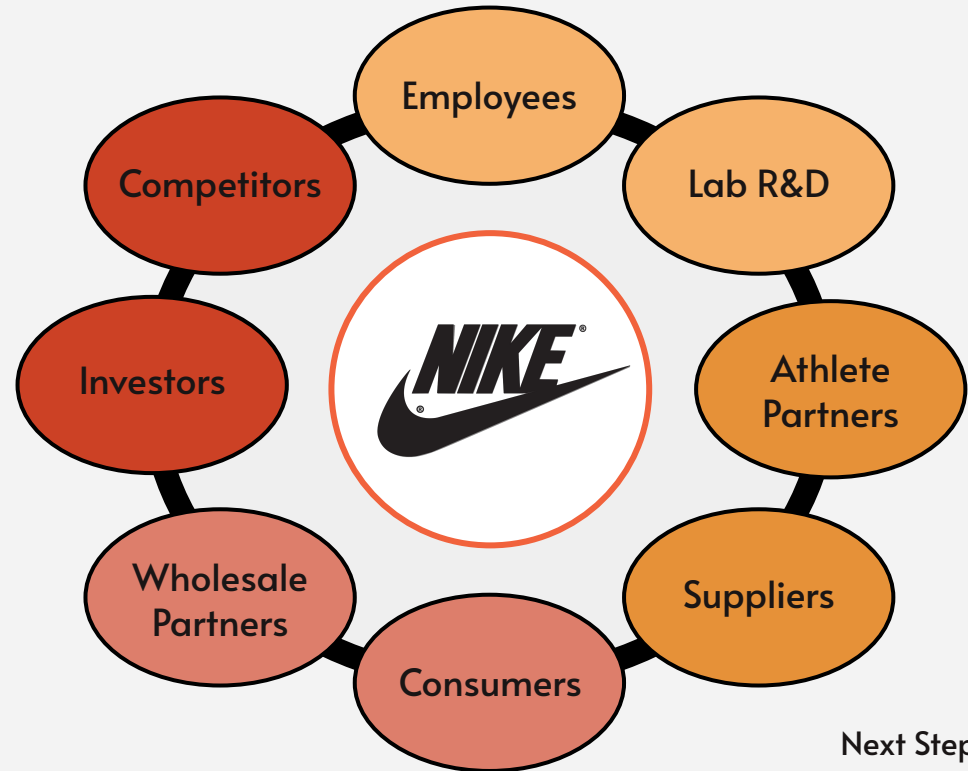




STAKEHOLDER ANALYSIS

Nike's CDO deepened consumer ties but strained partners and efficiency.

- Internal Drivers
- Strategic Partners
- Market Connectors
- Financial Influencers





PROS & CONS

PREDOMINANTLY WHOLESALE

Pros:

- ✓ Lower operational costs
- ✓ Shelf presence
- ✓ Wider market reach

Cons:

- ✓ Loss of brand control
- ✓ Margin compression
- ✓ Brand dilution

PREDOMINANTLY DTC (DIGITAL)

Pros:

- ✓ Full brand control
- ✓ Higher gross margins
- ✓ Premium brand optics

Cons:

- ✓ High operating costs
- ✓ Limited market reach
- ✓ Margin volatility

BALANCED HYBRID

Pros:

- ✓ “Phygital” experience
- ✓ Balanced margins
- ✓ Data synergies

Cons:

- ✓ Complex logistics
- ✓ Channel conflict risks
- ✓ Similar to competitors



FINANCIAL ANALYSIS

	PHASE 1: SWOOSH-BACK	PHASE 2: SMART-SWOOSH	PHASE 3: SWOOSH-SPHERE
Time Horizon	0 - 12 months	12 - 24 months	24 - 36 months
Total Cost	\$1.5 B	\$1.5 B	\$1.8 B
Wholesale / D2C	60% Wholesale / 40% D2C	55% Wholesale / 45% D2C	50% Wholesale / 50% D2C
Revenue Growth	5.0%	8.0%	10.0%
Gross Margins	45.0%	45.0%	48.0%



RISKS & MITIGATIONS

RISK: Coordinating logistics



MITIGANTS:

1. Dashboards for monitoring
2. Effective communication



RISK: Margin compression



MITIGANTS:

1. Data-driven analysis
2. Optimized SKU mix



RISK: Brand dilution



MITIGANTS:

1. Strategic retail presence
2. Store-in-store standards



COMPETITOR ANALYSIS



What did others do?



- **59% wholesale / 41% DTC** revenue mix (2023)
- Maintains brand presence through **broad retail access** while expanding digital



*Balanced mix keeps **reach broad** and **sales steady***



- **76% wholesale / 24% DTC** revenue mix (2023)
- Leverages **retail partnerships** for scale and visibility, while gradually growing DTC



*Hybrid model with stronger wholesale focus drives **scale** and **adaptability***

THANK YOU





APPENDIX

PHASE 1: SWOOSH-BACK



Reignite selective wholesale relationships while maintaining Nike's premium DTC power.

1

Swoosh Zones

Establish partnerships with select **premium retailers** (Dick's Sporting Goods, DSW, Foot Locker, etc.) and advertise the resurgence of Nike products by putting them **on display**

2

"Just Do It Together"

Campaign **celebrating teamwork** between Nike and its retail partners by **sponsoring community events** (run clubs, yoga classes, etc.) to publicize return to wholesale



PHASE 2: SMART-SWOOSH



Use AI, AR, and design intelligence to personalize experiences and scale sustainable growth.

1

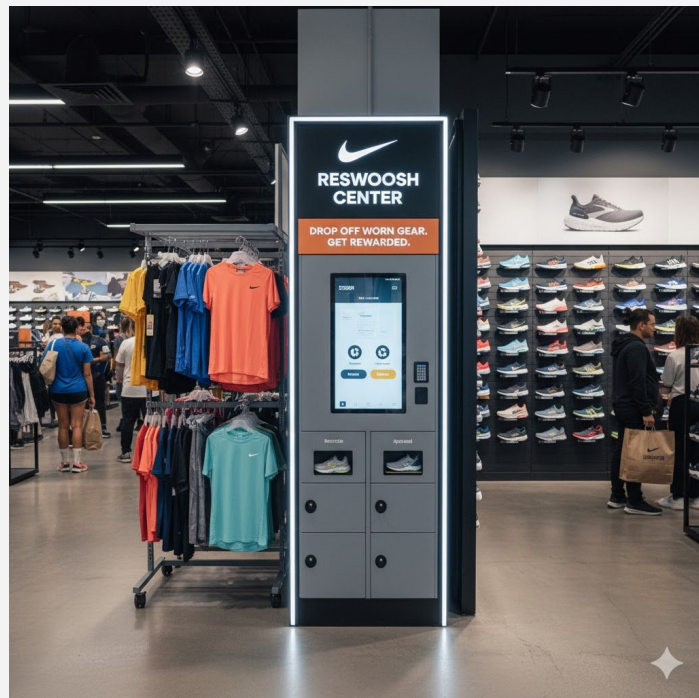
AR Integration

1. **Try-umph** : AR fitting mirror in Swoosh Zones where customers can try on new Nike releases
2. **Swoosh Scan** : Users find hidden Swooshes in cities to unlock exclusive rewards on the Nike app

2

Re-Swoosh Centers

Nike's branded **return and recycling hubs** inside wholesale stores where customers can seamlessly **drop off worn or unwanted gear**



PHASE 3: SWOOSH-SPHERE



Fully integrate digital, physical, and community experiences into one connected ecosystem.

1

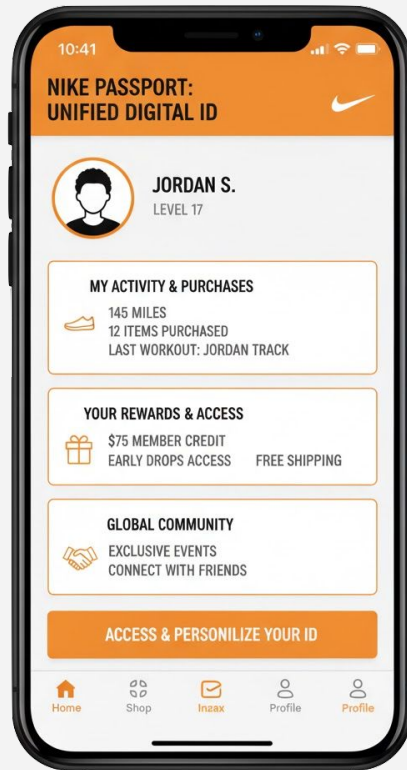
Nike Passport

Unified digital ID available on the Nike app that connects every shopper's purchases and workouts **across Nike's ecosystem** into rewards, access, and community experiences.

2

Nike Brain

Internal dashboard trained off purchasing trends from hybrid streams to best **forecast** inventory, financials, consumer spending





FINANCIAL PROJECTIONS

(USD billions)

		Swoosh-Back	Smart-Swoosh	Swoosh-Sphere
	FY 2024	FY 2025	FY 2026	FY 2027
Nike Brand Revenue	49.322	51.788	55.931	61.524
YoY Revenue Growth		5.0%	8.0%	10.0%
Wholesale Revenue	27.758	31.073	30.762	30.762
Wholesale as % of Revenue	56.3%	60.0%	55.0%	50.0%
D2C Revenue	21.519	20.715	25.169	30.762
D2C as % of Revenue	43.6%	40.0%	45.0%	50.0%
Global Brand Divisions	0.45	0.45	0.45	0.45
Converse Revenue	2.082	2.594	2.767	3.002
Corporate	(0.42)	(0.42)	(0.42)	(0.42)
Nike Revenue	51.392	53.962	58.279	64.106
YoY Revenue Growth		5.0%	8.0%	10.0%
Cost of Goods Sold	28.475	29.679	32.053	33.335
Gross Profit	22.887	24.283	26.225	30.771
Gross Margin	44.53%	45.0%	45.0%	48.0%

Key Assumptions

YoY Revenue Growth :

Assumed to continue growing each year (5% → 8% → 10%)

Wholesale/D2C : After a push back into wholesalers, this segment should grow in year 1 but consumers should transition to D2C as they seek rewards in following years

Gross Margin : Attempt to maintain as best until Nike Brain roll-out to help optimize internal spending



FINANCIAL PROJECTIONS

(USD billions)

100% D2C (Digital)

	FY 2024	FY 2025	FY 2026	FY 2027
Nike Brand Revenue	49.322	46.856	43.107	38.797
YoY Revenue Growth		(5.0%)	(8.0%)	(10.0%)
Wholesale Revenue	27.758	23.428	19.398	15.519
Wholesale as % of Reve	56.3%	50.0%	45.0%	40.0%
D2C Revenue	21.519	23.428	23.709	23.278
D2C as % of Revenue	43.6%	50.0%	55.0%	60.0%
Global Brand Divisions	0.45	0.45	0.45	0.45
Converse Revenue	2.082	2.387	2.229	2.048
Corporate	(0.42)	(0.42)	(0.42)	(0.42)
Nike Revenue	51.392	48.822	44.917	40.425
YoY Revenue Growth		(5.0%)	(8.0%)	(10.0%)
Cost of Goods Sold	28.475	24.411	21.560	18.191
Gross Profit	22.887	24.411	23.357	22.234
Gross Margin	44.53%	50.0%	52.0%	55.0%

Key Assumptions

YoY Revenue Growth :
Assumed to decrease as
wholesale segment wanes off

Wholesale/D2C : Consistent
linear annual growth as D2C
grows at the cost of wholesale

Gross Margin : Improve
significantly as Nike becomes
a less physical brand; online
presence allows for data
collection and analysis that
allows for further refinement



FINANCIAL PROJECTIONS

(USD billions)

100% Wholesale

	FY 2024	FY 2025	FY 2026	FY 2027
Nike Brand Revenue	49.322	47.842	45.450	42.723
YoY Revenue Growth		(3.0%)	(5.0%)	(6.0%)
Wholesale Revenue	27.758	28.705	29.543	28.625
Wholesale as % of Reve	56.3%	60.0%	65.0%	67.0%
D2C Revenue	21.519	19.137	15.908	14.099
D2C as % of Revenue	43.6%	40.0%	35.0%	33.0%
Global Brand Divisions	0.45	0.45	0.45	0.45
Converse Revenue	2.082	2.428	2.328	2.213
Corporate	(0.42)	(0.42)	(0.42)	(0.42)
Nike Revenue	51.392	49.850	47.358	44.516
YoY Revenue Growth		(3.0%)	(5.0%)	(6.0%)
Cost of Goods Sold	28.475	29.910	29.362	28.936
Gross Profit	22.887	19.940	17.996	15.581
Gross Margin	44.53%	40.0%	38.0%	35.0%

Key Assumptions

YoY Revenue Growth :

Assumed to decrease as D2C segment wanes off but less so than before since wholesale is a larger portion of sales

Wholesale/D2C : Wholesale grows at the cost of D2C, but difficult to exceed 65% as consumers continue preferring online sales

Gross Margin : Worsen as physical presence is priority



RELEVANT KPIs

PHASE 1: SWOOSH-BACK

0 - 12 months

I. Swoosh Zones

20%

In-Store
Engagement Rate

72%

Revenue per
Engaged Customer

II. “Just Do It Together”

1.2M

Community
Participation

200K

New Nike App
Downloads

PHASE 2: SMART-SWOOSH

12 - 24 months

I. AR Integration

10%

Post-AR
Conversion Rate

72%

Revenue per
Engaged Customer

II. Re-Swoosh Centers

200K

Items Processed
Per Quarter

15%

Return-to-Renew
Rate

PHASE 3: SWOOSH-SPHERE

24 - 36 months

I. Nike Passport

5M

Active Passport
Users

40%

Reward Redemption
Rate

II. Nike Brain

18%

Forecast Accuracy

3.9x

Inventory Turnover
Appendix | 33



COST BREAKDOWN

PHASE 1: SWOOSH-BACK

\$1.5 B

- I. Swoosh Zones
\$800M
- II. “Just Do It Together”
\$400M
- III. Digital Infrastructure
\$200M
- IV. Supply Chain Logistics
\$150M

PHASE 2: SMART-SWOOSH

\$1.5 B

- I. AR Integration
\$600M
- II. Re-Swoosh Centers
\$500M
- III. AI R&D
\$250M
- IV. Sustainability Initiatives
\$150M

PHASE 3: SWOOSH-SPHERE

\$1.8 B

- I. Nike Passport
\$700M
- II. Nike Brain
\$700M
- III. Data Migration
\$250M
- IV. Advertising
\$150M

CDO Overview

Consumer Direct Offense

Triple Double Strategy: 2× Innovation, 2× Speed, 2× Direct

Digital Acquisitions: Zodiac (predictive analytics), Select (inventory optimization), and Datalogue (data integration)

Nike App, SNKRS, Run Club, and Training Club built loyalty across 160M members who spent ~3× more than non-members

Supply Chain Transformation: Shift to omni-channel fulfillment and robotics (Geek+) tripled digital order capacity

Outcome: Nike Direct grew from 28% (2017) → 44% (2023) of total revenue, but margins fell (46% → 43.5%) due to inventory strain and complexity

SHIPPING LOGISTICS

Nike also introduced click-and-collect from store and ship-from-store to home to fulfil orders from locations closer to the consumers. 71 According to Matt Friend, Chief Financial Officer,

The benefits for us in that are in gross margin. It's more full-price realisation. It's lower cost to fulfil. And frankly, it's better for the environment because it's less shipping and it's less moving stuff around

Geek+, a smart logistics provider, to deploy robots in its warehouses. The robots carried ordered products directly to workers, enhancing picking efficiency, reducing operational costs, and alleviating physically demanding tasks for employees, allowing them to focus on higher-value activities instead. = 2022= tripling Nike's digital order capacity and overcoming the industry wide labour shortages and high wages.

PHYGITAL STORES

Nike House of Innovation, Nike Live, Nike Rise, Nike Unite, and Nike Style